Synthetic – for demonstration only. Fictitious document based on Xero Demo Company (AU) data.

TESSELLATE AUDIT PARTNERS
Level 9, 1 Illustration Place, Sydney NSW 2000

28 August 2026

Alex Morgan, Director
Demo Company (AU) Pty Ltd (ACN 900 043 021)
23 Main Street, Marineville NSW 2000

Dear Director

AUDIT ENGAGEMENT - FINANCIAL YEAR ENDING 30 SEPTEMBER 2026

1. Objective and scope of the audit
You have requested that we audit the financial report of Demo Company (AU) Pty Ltd, which comprises the statement of financial position as at 30 September 2026, the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows for the period from 1 July 2026 to 30 September 2026, notes to the financial statements and the directors' declaration. The audit is required by the shareholder direction of 20 August 2026 under section 293 of the Corporations Act 2001.

The objective of our audit is to obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit will always detect a material misstatement when it exists.

2. Our responsibilities
We will conduct our audit in accordance with Australian Auditing Standards, which require us to comply with ethical requirements. We will identify and assess the risks of material misstatement, design and perform procedures responsive to those risks, obtain an understanding of internal control relevant to the audit, evaluate the accounting policies and estimates used, and conclude on the use of the going concern basis of accounting. We will communicate in writing any significant deficiencies in internal control that we identify. Because of the inherent limitations of an audit, there is an unavoidable risk that some material misstatements may not be detected.

3. Initial audit engagement
This is our first audit of the Company, and the financial report for the year ended 30 June 2026 was not audited. We will obtain sufficient appropriate audit evidence about whether the opening balances at 1 July 2026 contain misstatements that materially affect the current period's financial report (ASA 510, paragraph 6): we will determine whether the closing balances at 30 June 2026 have been correctly brought forward, whether they reflect appropriate accounting policies, and we will perform specific procedures on them. Because the prior period financial report was not audited, our auditor's report will include an Other Matter paragraph stating that the corresponding figures are unaudited (ASA 710, paragraph 14).

4. Responsibilities of the directors

Our audit will be conducted on the basis that the directors acknowledge and understand that they have responsibility:

(i) for the preparation of the financial report that gives a true and fair view in accordance with the Corporations Act 2001 and the applicable financial reporting framework set out in section 5;

(ii) for such internal control as the directors determine is necessary to enable the preparation of a financial report that is free from material misstatement, whether due to fraud or error; and

(iii) to provide us with:

   a. access to all information of which the directors are aware that is relevant to the preparation of the financial report, such as records, documentation and other matters;

   b. additional information that we may request from the directors for the purpose of the audit; and

   c. unrestricted access to persons within the Company from whom we determine it necessary to obtain audit evidence.

As part of our audit process we will request from the directors written confirmation concerning representations made to us in connection with the audit.

5. Applicable financial reporting framework

The financial report is to be prepared in accordance with the Corporations Act 2001 and Australian Accounting Standards - Simplified Disclosures.

The current period covers the 3 months from 1 July 2026 to 30 September 2026, while the comparative figures cover the 12 months ended 30 June 2026. The amounts presented are therefore not entirely comparable, and the financial report is to disclose this.

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6. Form and content of our report
We expect to issue a written auditor's report on the financial report, addressed to the members of the Company, expressing our opinion and including the Other Matter paragraph described in section 3. There may be circumstances in which our report differs from its expected form and content, depending on the findings of the audit.

7. Fees
Our fee for the audit is AUD 4,800, excluding GST. We will issue our invoice when the auditor's report is signed. We provide no other services to the Company.

8. Agreement of terms
Please sign and return a copy of this letter to confirm that it is in accordance with your understanding of the arrangements for our audit of the financial report.

Yours faithfully

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Tessellate Audit Partners
Jordan Ellis, Partner (Registered Company Auditor No. 300471)

Acknowledged and agreed on behalf of Demo Company (AU) Pty Ltd:

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Alex Morgan, Director
Date: 2 September 2026